Economics

Root cause of Economic Problem → Defn of Economics
→ classificn → micro / macro Economics

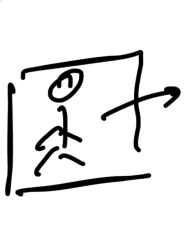
scarcity

Economics & Economy.

Economic System / Economy
└→ classification
- command → Socialist
- free market → cap
- mixed Economy

① command / socialist / centrally directed Economy?

Rule Based System { if / else }
⇓
central Authorities →
- what to produce
- when to produce
- How to Produce



{ if demand > 100 kg/day. (T shirt, Mango)
Produce (50)
else
halt Production }

demand < 500 kg/day
⇓

{ if demand > 100/day (Toys)
Produce ⇒ 50 }

(Soft) → 200

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free Market Economy:
(capitalism)

Mixed Economy:

Delivery ⇒ 10 min
⇓
company Authorities → No Role of Govt. → capt

10 min
└→ No. Accidents → UCB. of Delivery Partners
⇓

SC ⇒ → Delivery

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controlled by Govt. / Govt Regulations

free market

Command → 100% Govt control → 90's Pre India

free → 100% Mgt / Business owner hold → TCS, Zomato, Trading of Crypto

Mixed → free market + Govt Restriction / Rules → modern India

BHEL / HAL / NTPC
⇓
40% ↓ Govt → 60%

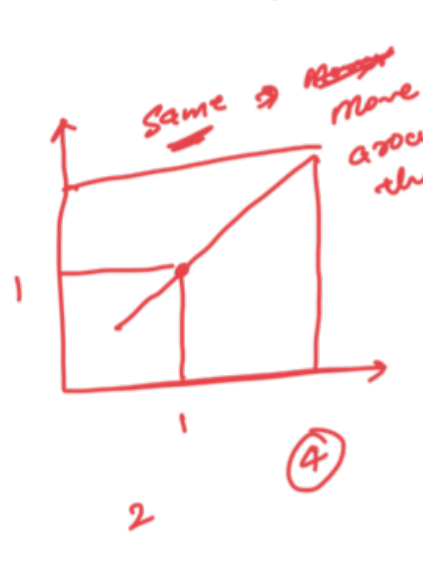
Classificn
└→ open | closed Economy.!

Open ⇒

Any one can come; Invest, Trade/

No Exchange out of the boundary

closed Economy



same ⇒ ~~Resour~~ move around the world

Economics ⇒ study of
- System → understand
- Analyse
- optimise system

Case ⇒ Toothbrush

Why we need it
- Ancestors ⇓ Neem Sticks.
- Demand → To satisfy human wants, → Technology development; customers or Users.

- 90's ⇒ Normal Toothbrush
- 20's ⇒

- 21st. ⇒ Electronic Toothbrush

Oral B → Production → Delivery. ⇓ Distribution ⇓ Vendor / supplier → shop → Customers. } Distribution

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① Production → Distribution → Consumption
(Limited Raw; Fulfill Demand)
└→ study of) Production → Chain
└→ Economics → Relationships b/w variables

Raw

Time

Optimization
- objective fn
- constrain

Ramu
- Tea
- filter coffee
] ⇒ ₹ 1200/- / day (Raw material) ⇓ milk; coffee powder, Tea pow

- ₹ 6 / cup → Tea (T) → ₹ 4/cup
- ₹ 12 / cup → filter coffee (F) → ₹ 6/cup

$6T + 12F = \boxed{1200} \rightarrow ①$

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order ⇒ 40 F C
- Take order → execute
- Say No ⇒

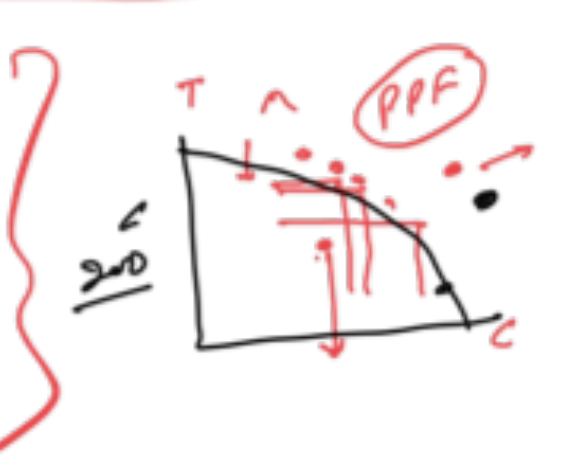
$\boxed{6C + 12F = 1200}$

$6C = 1200 - 12F$

$= 1200 - 12 \times 40$

$6C = 720$

$1C = \frac{720}{6} = $ 120 cup of Tea



Total Profit = 40 cups of ~~Tea~~ FC and 120 cups of Tea

⇒ $4 \times C + 6 \times F$

= $4 \times 120 + 6 \times 40$

= ₹ 720

Case ②:

① Basmatic Rice (B)
② wheat (W)
→ Profit = B = ₹ 15000/acre. W = ₹ 8000/acre

└→ 10,000 Lit/day

BR ⇒ 500 Lit/day/acre
W ⇒ 200 Lit "

① $\boxed{500 \times B + 200 \times W = 10,000} \rightarrow ①$

② maintaining the fertility / Nitrogen content in soil
└→ 5 acre of Basmati Rice

B = 5 acre ⇒ fixed
└→ W ⇒ ??

B = 5 acre × 500
= 2500 lit

Revenue ⇒ 10,000 − 2,500
⇒ 7500 lit

$W = \frac{7500}{200} = 37.5$ acre

Total Profits
⇒ 15000 × 5 + 37.5 × 8000
= 75000 + 3,00,000
⇒ 3.75 Lac

Element of Economics
- Production
- Distribution
- Consumption

① What to Produce
② How to Produce
③ whom to Produce
} central Problem of Economics

Market ⇒ ??
└→ me, You, others → Exchange in items / commodities → Money flow

- fulfil needs
- Profits.

① Production ⇒
⇓
Raw material → Usable item
⇓
Cotton, Tea leaf → T shirt, shirts, Saree

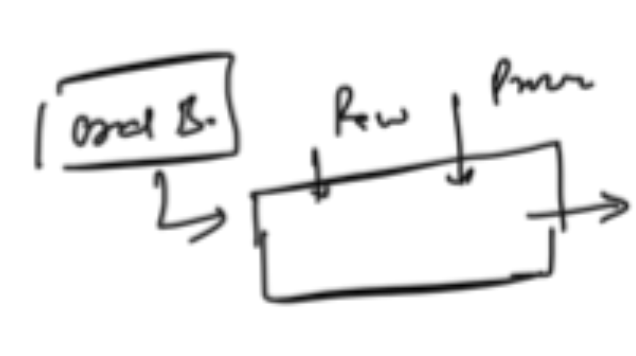
Outcome of Production
- visible
- Invisible

Outcome of Production
- visible → Tangible
  - Goods → See; Touch; Store
- Invisible → Intangible
  - Services ⇓ only experience / can't Store

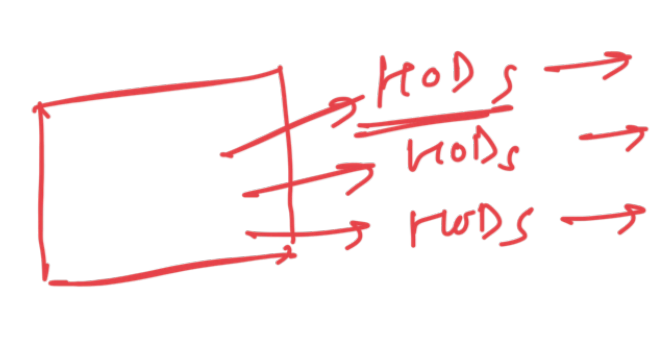
MilKman
- milk → visible
- Delivery of milk ⇒ Services ⇓ Invisible

Factor of Production :-
- land
- labour
- Physical capital
  - Fixed Capital → Long Term Investment
  - working Capital → Short term / monthly. ↓ salary; Electricity bill, water bill etc
- Entrepreneurship / Human Capital

Oral B.



Land + labour + Physical Capital
⇓
~~manage~~ manage these Resources
{ CEO's c-suits; Senior manager; R&D Heads; data Scientist }



Market Economic Sectors:

① Primary sector:
└→ Raw material

Guests → ~~Hou~~ House.
⇓
Tea making for Guest

① collection of Raw material
⇓
{ Tea leaves + milk + Sugar + … } → Primary Sector
⇓
i) Natural Resources
ii) Raw materials

Red collar workforce

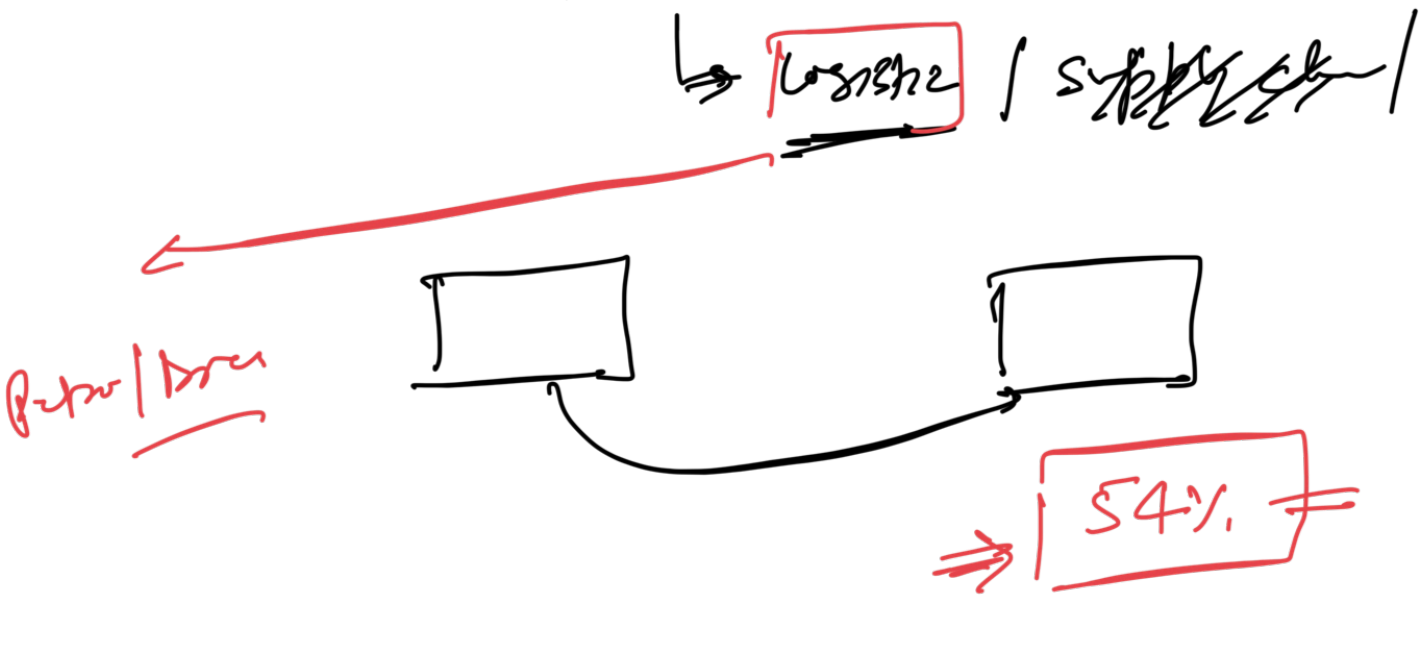
Approx 17% of GDP

② ② Milk + Tea leaf + Sug → mixing
⇓
Putting on the Gas. → Production activity
⇓
secondary ⇒ Blue collar workforce

~ 27% of Your GDP
{ 14% ⇒ mfg. ⇒

Tea ⇒ started serving to your Guest
⇓
Tertiary sector ⇒ white collar workforce
└→ Logistic / ~~supply~~ / quality mgt.

Petrol / Diesel



⇒ 54%